

# Riding on the multi-year capex and AI/HPC demand upcycle; raise TPs for All Ring/GPTC to NT\$1,800/NT\$4,500; reiterate Buy

21 April 2026 | 7:36AM CST

We now see further earnings upside for our two covered advanced packaging equipment makers - All Ring (6187.TWO) and GPTC (3131.TWO) - thanks to **1) our expectation of a more aggressive advanced packaging capacity expansion from TSMC, and 2) the incoming ramp of new technologies, i.e. System-on-Integrated Chips (SoIC), Co-Packaged Optics (CPO), and Panel-level Packaging (PLP).**

**Riding on TSMC's capex upcycle into 2028 and beyond**

**We now see greater upside for All Ring and GPTC from TSMC's multi-year capex upcycle into 2028 and beyond, thanks to its more aggressive capacity expansion planning driven by the strengthening AI/HPC demand.** To note, during TSMC's 1Q26 analyst meeting, management mentioned that it is speeding up its N3 capacity expansion given the stronger-than-expected AI/HPC demand, which we believe should also translate to further back-end advanced packaging expansion. Accordingly, we now model TSMC's annual CoWoS capacity to grow by 89%/95%/27% YoY to 1,275k/2,490k/3,150k wafers in 2026-2028E.

**More than just CoWoS - multi-faceted growth stories await**

In addition to the continuous CoWoS capacity expansion, we also expect All Ring and GPTC to benefit from the diversified ramp of newly emerging advanced packaging technologies. For **All Ring, we see further upside to its CPO content value**, as we expect the company to expand its presence beyond coupling into inspection, supported by the addition of new Automated Optical Inspection (AOI) equipment to the CPO supply chain. We expect its **CPO exposure to contribute 3%/29%/69% of its total revenue in 2026-2028E**. For **GPTC**, we expect it to benefit from **higher equipment ASPs in SoIC and PLP, which are approximately 2x/3x higher vs. CoWoS**, driven by greater technology complexity. We view GPTC as a key beneficiary of SoIC, and project **SoIC to account for 50%+ of GPTC's equipment revenue in 2026-2028E**, with CPO and future generations of AI chips to drive broader SoIC adoption.

Overall, we revise up All Ring/GPTC's 2026-2028E earnings by 37-58%/15-36% and **raise our 12m TP for All Ring to NT\$1,800 (from NT\$800) and GPTC to NT\$4,500 (from NT\$3,500)**. With 47%/40% implied upside, we reiterate our Buy ratings on All Ring and GPTC.

# All Ring (6187.TWO): Raising earnings and TP on CoWoS capacity expansion and growing CPO opportunity

Exhibit 1:

| 6187.TWO | 12m Price Target: NT\$1800              | Price: NT\$1225       | Upside: 46.9% |         |          |          |
|----------|-----------------------------------------|-----------------------|---------------|---------|----------|----------|
| Buy      | GS Forecast                             |                       |               |         |          |          |
|          |                                         | 12/25                 | 12/26E        | 12/27E  | 12/28E   |          |
|          | Market cap: NT\$117.6bn / \$3.7bn       | Revenue (NT\$ mn) New | 5,366.2       | 9,607.1 | 16,229.9 | 19,539.3 |
|          | Enterprise value: NT\$114.1bn / \$3.6bn | Revenue (NT\$ mn) Old | 5,366.2       | 6,522.8 | 11,351.9 | 15,496.7 |
|          | 3m ADTV :NT\$2.6bn/ \$81.1mn            | EBITDA (NT\$ mn)      | 1,679.3       | 3,399.4 | 6,055.0  | 7,965.1  |
|          | Taiwan                                  | EPS (NT\$) New        | 15.47         | 29.22   | 51.42    | 66.65    |
|          | Taiwan Semiconductor                    | EPS (NT\$) Old        | 15.47         | 18.55   | 32.92    | 48.74    |
|          |                                         | P/E (X)               | 22.7          | 41.9    | 23.8     | 18.4     |
|          | M&A Rank: 3                             | P/B (X)               | 4.5           | 12.9    | 9.9      | 8.1      |
|          | Leases incl. in net debt & EV?: Yes     | Dividend yield (%)    | 3.3           | 1.8     | 3.1      | 4.1      |
|          |                                         | CROCI (%)             | 44.2          | 57.3    | 76.4     | 87.8     |
|          |                                         |                       | 12/25         | 3/26E   | 6/26E    | 9/26E    |
|          |                                         | EPS (NT\$)            | 3.36          | 4.49    | 5.43     | 7.82     |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 20 Apr 2026 close.

## 订阅研报添加微信 LCD123321Cad 04-21

### Advanced packaging uptrend remains intact

As both foundries and OSATs continue to expand CoWoS-like technologies, we expect CoWoS to remain All Ring’s primary near-term growth driver **with the incrementally stronger capacity expansion that we now expect from TSMC**. We now model annual CoWoS capacity to grow by 89%/95%/27% YoY to 1,275k/2,490k/3,150k wafers in 2026-2028E (see also our TSMC [note](#)). Beyond CoWoS, we expect All Ring to begin shipping PLP-related equipment for customers’ pilot lines in 2026, and we believe the company should benefit from an ASP premium in PLP, given the higher technology complexity relative to CoWoS-related equipment. We now model All Ring’s CoWoS related revenue to grow 86%/23% YoY in 2026/2027E (vs. 24%/23% YoY previously).

Furthermore, unlike in CoWoS, where All Ring’s scope has been largely limited to wafer-on-substrate (WoS) processes, **we see potential for the company to expand into the chip-on-panel stage, thereby broadening its addressable process steps and increasing its dollar content in the next generation of advanced packaging capacity expansion**. As the industry gradually shifts from CoWoS toward panel-level solutions to support larger AI packages and improve area efficiency, we believe this transition is likely to trigger another capacity expansion upcycle, with All Ring positioned as one of the key beneficiaries.

### All eyes on CPO opportunity

CPO represents a structural evolution in high-performance interconnect architecture, integrating optical engines closer to the chip through advanced packaging to address increasingly stringent bandwidth and power-efficiency requirements. As discussed in

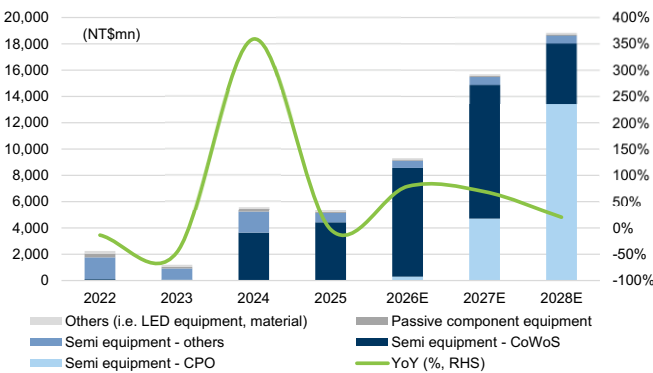
our previous [report](#), **we believe All Ring has entered the CPO supply chain of a leading US AI GPU customer, which is expected to launch a new CPO-based scale-out networking solution in 2H26.**

Based on our supply chain checks, we believe All Ring is supplying two categories of CPO-related equipment: **1) FAU coupling tools**, which integrate active alignment, dispensing, and curing functions to enable highly precise coupling and attachment of FAUs onto PICs; and **2) AOI tools**, which perform end-of-line optical inspection on the full chip module following completion of the on-substrate process. Given the tight alignment tolerances and throughput limitations inherent in optical assembly, these steps are among the key bottlenecks in scaling CPO production, with coupling equipment in particular serving as a critical enabler of yield stability and volume ramp-up. While coupling is likely the most time-consuming process step, we now assume an 18%/30% AOI attachment rate in 2027/28E based on our estimated process time differential.

While we expect All Ring’s CPO revenue contribution to remain modest in 2026, we see potential for CPO-related revenue to scale significantly in 2027 and beyond as adoption widens and volumes ramp, especially if customers begin to roll out scale-up CPO architectures in 2028. Overall, we now model **All Ring’s CPO revenue to grow 1,469%/185% YoY in 2027/2028E (vs. 1,176%/152% YoY prior), with revenue contribution increasing rapidly to 29%/69% in 2027/2028E from only 3% in 2026E.**

*See also: [All Ring Tech Co. \(6187.TWO\): CPO opportunity emerging as a game changer to drive the next earnings upcycle; upgrade to Buy from Sell; TP up to NT\\$800 \(11 March 2026\).](#)*

**Exhibit 2: All Ring’s revenue growth outlook**



**Exhibit 3: All Ring’s revenue breakdown**

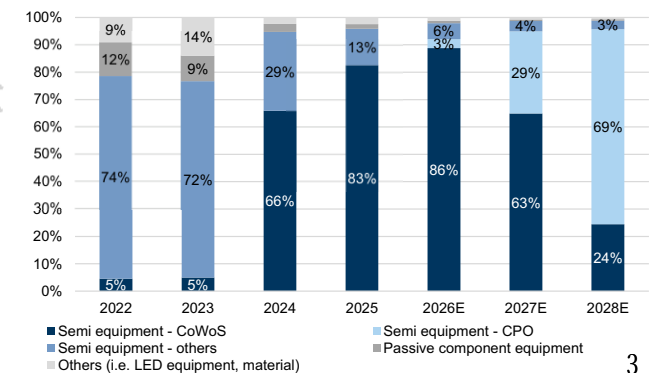
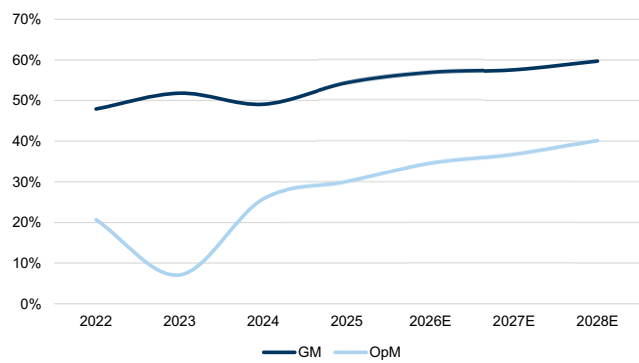
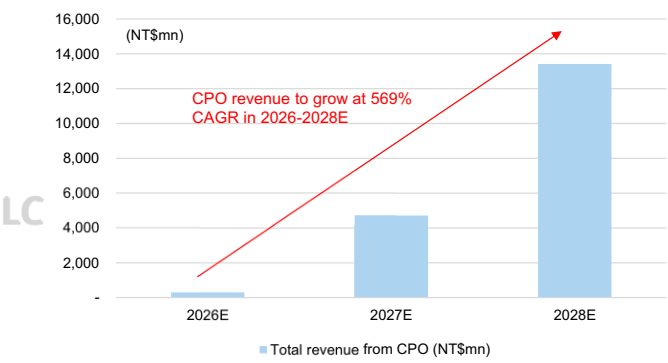


Exhibit 4: All Ring’s margin trend



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: All Ring’s CPO revenue growth trend



Source: Company data, Goldman Sachs Global Investment Research

GPTC (3131.TWO): Raising earnings and TP on CoWoS capacity expansion and accelerating SoIC adoption

Exhibit 6:

订阅研报添加微信 LCD123321Cad 04-21

|          |                            |                 |               |
|----------|----------------------------|-----------------|---------------|
| 3131.TWO | 12m Price Target: NT\$4500 | Price: NT\$3210 | Upside: 40.2% |
|----------|----------------------------|-----------------|---------------|

| Buy                                    | GS Forecast           |         |         |          |          |
|----------------------------------------|-----------------------|---------|---------|----------|----------|
|                                        |                       | 12/25   | 12/26E  | 12/27E   | 12/28E   |
| Market cap: NT\$93.3bn / \$3.0bn       | Revenue (NT\$ mn) New | 6,514.5 | 9,000.5 | 12,609.2 | 14,513.4 |
| Enterprise value: NT\$94.0bn / \$3.0bn | Revenue (NT\$ mn) Old | 6,514.5 | 8,532.8 | 10,868.5 | 13,652.4 |
| 3m ADTV :NT\$2.2bn/ \$70.2mn           | EBITDA (NT\$ mn)      | 1,766.2 | 2,893.4 | 4,709.5  | 5,588.1  |
| Taiwan                                 | EPS (NT\$) New        | 45.45   | 76.23   | 128.58   | 150.93   |
| Taiwan Semiconductor                   | EPS (NT\$) Old        | 45.48   | 66.18   | 94.60    | 126.32   |
|                                        | P/E (X)               | 29.7    | 42.1    | 25.0     | 21.3     |
| M&A Rank: 3                            | P/B (X)               | 8.3     | 15.6    | 11.6     | 9.7      |
| Leases incl. in net debt & EV?: Yes    | Dividend yield (%)    | 2.5     | 1.8     | 3.0      | 3.5      |
|                                        | CROCI (%)             | 49.1    | 34.4    | 48.5     | 52.2     |
|                                        |                       | 12/25   | 3/26E   | 6/26E    | 9/26E    |
|                                        | EPS (NT\$)            | 19.26   | 10.98   | 13.65    | 20.96    |
|                                        |                       |         |         |          | 4        |

ongoing CoWoS and FOCoS capacity expansion across both foundry and OSAT customers.

In our view, GPTC is particularly well positioned to benefit from FOCoS capacity additions at OSATs, where its wet clean equipment market share appears higher than at foundries. On the margin front, **we expect GM to improve meaningfully starting in 4Q26, supported by a lower outsourcing ratio as Phase 2 of the new fab enters production in March** and equipment shipments begin in July. Following our upward revision to CoWoS capacity assumptions, we now project GPTC’s 2026E revenue to grow 38% YoY (vs. 31.0% previously), with GM reaching 43.9% (vs. 42.2% previously).

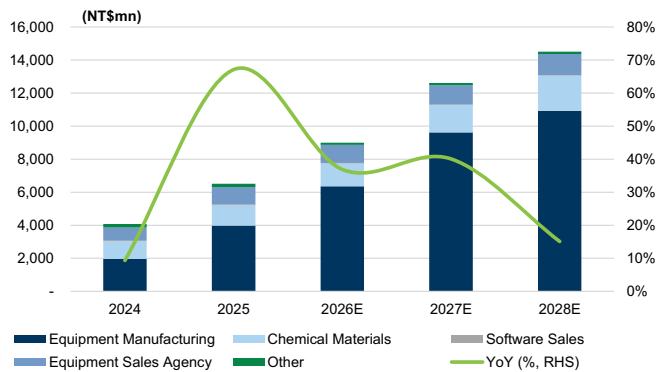
**Accelerating SoIC adoption to drive the next phase of growth**

Beyond 2026, **we expect SoIC to become GPTC’s main growth engine**, with its contribution increasingly surpassing that of CoWoS as industry adoption accelerates. One AI GPU customer has already adopted SoIC, and we believe demand should broaden further as CPO deployment gains traction, given that EIC-to-PIC bonding also requires SoIC-related processes. Based on our industry research, we further expect another major AI GPU vendor to adopt SoIC in future AI GPU generations beginning in 2028, which should underpin a meaningful expansion in SoIC capacity from 2027 onward.

We forecast foundry SoIC capacity to reach around 16kwpm/48kwpm/78kwpm in 2026–2028E. Relative to CoWoS, we believe GPTC is competitively better positioned in SoIC, where higher technical requirements and stronger process complexity support both market share gains and pricing power. We estimate SoIC wet clean equipment ASP at US\$1.5–2.0mn, vs. US\$1.0–1.5mn for current CoWoS wet clean equipment, and expect SoIC-related shipments to be margin accretive, thereby supporting an improved structural gross margin profile. Overall, **we expect SoIC to account for more than 50% of GPTC’s equipment revenue starting 2027E**, supporting overall revenue growth of 40%/15% YoY in 2027/2028E, with GM rising to 47.0%/47.9% from 43.9% in 2026E.

*See also: [Grand Process Technology Corp. \(3131.TWO\): Entering the next structural upcycle beyond CoWoS; reiterate Buy; TP up to NT\\$3,500 \(24 March 2026\)](#)*

**Exhibit 7: GPTC’s revenue growth outlook**



**Exhibit 8: GPTC’s revenue breakdown**

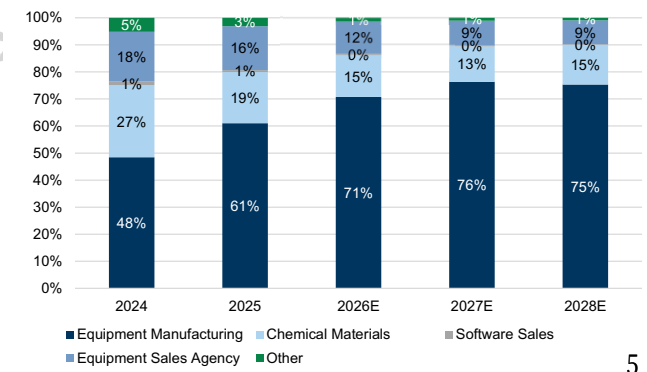
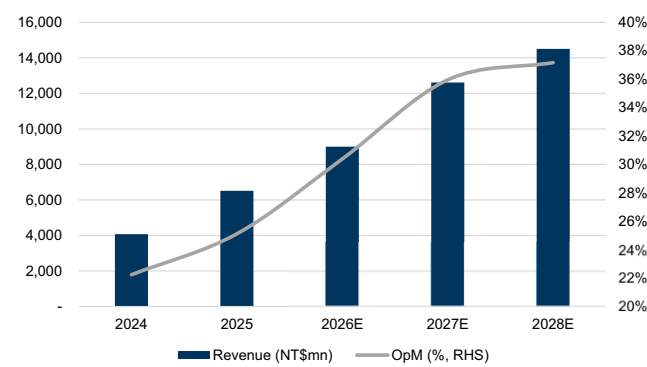
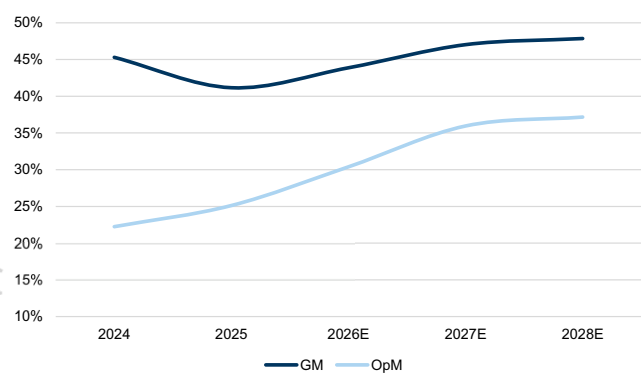


Exhibit 9: GPTC’s revenue vs. OpM



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: GPTC’s margin trend



Source: Company data, Goldman Sachs Global Investment Research

订阅研报添加微信 LCD123321Cad 04-21

订阅研报添加微信 LCD123321Cad 04-21

All Ring (6187.TWO)

Forecast changes 江蘇環報添加微信 LCD12321Cad 04-21

We revise up our 2026-2028E EPS estimates by 37-58% mainly as we factor in 1) stronger CoWoS capacity expansion, and 2) higher CPO content value with new AOI equipment.

Exhibit 11: Earnings revisions

| (NT\$m)      | 2026E |       |          | 2027E  |        |          | 2028E  |        |          |
|--------------|-------|-------|----------|--------|--------|----------|--------|--------|----------|
|              | Old   | New   | Diff (%) | Old    | New    | Diff (%) | Old    | New    | Diff (%) |
| Revenue      | 6,523 | 9,607 | 47.3%    | 11,352 | 16,230 | 43.0%    | 15,497 | 19,539 | 26.1%    |
| Gross profit | 3,532 | 5,458 | 54.5%    | 6,286  | 9,341  | 48.6%    | 9,008  | 11,664 | 29.5%    |
| Op. income   | 2,086 | 3,316 | 58.9%    | 3,796  | 5,953  | 56.8%    | 5,745  | 7,845  | 36.6%    |
| Net income   | 1,782 | 2,807 | 57.5%    | 3,163  | 4,940  | 56.2%    | 4,683  | 6,403  | 36.7%    |
| EPS (NT\$)   | 18.55 | 29.22 | 57.5%    | 32.92  | 51.42  | 56.2%    | 48.74  | 66.65  | 36.7%    |
| GM           | 54.1% | 56.8% | 2.7%     | 55.4%  | 57.6%  | 2.2%     | 58.1%  | 59.7%  | 1.6%     |
| OpM          | 32.0% | 34.5% | 2.5%     | 33.4%  | 36.7%  | 3.2%     | 37.1%  | 40.2%  | 3.1%     |
| NM           | 27.3% | 29.2% | 1.9%     | 27.9%  | 30.4%  | 2.6%     | 30.2%  | 32.8%  | 2.6%     |

| (NT\$m)      | 1Q26E |       |          | 2Q26E |       |          | 3Q26E |       |          |
|--------------|-------|-------|----------|-------|-------|----------|-------|-------|----------|
|              | Old   | New   | Diff (%) | Old   | New   | Diff (%) | Old   | New   | Diff (%) |
| Revenue      | 1,398 | 1,411 | 1.0%     | 1,482 | 1,745 | 17.7%    | 1,629 | 2,510 | 54.1%    |
| Gross profit | 754   | 799   | 6.0%     | 801   | 994   | 24.0%    | 884   | 1,445 | 63.4%    |
| Op. income   | 457   | 500   | 9.3%     | 475   | 610   | 28.4%    | 523   | 889   | 70.0%    |
| Net income   | 392   | 431   | 9.9%     | 407   | 522   | 28.2%    | 447   | 752   | 68.0%    |
| EPS (NT\$)   | 4.08  | 4.49  | 9.9%     | 4.24  | 5.43  | 28.2%    | 4.66  | 7.82  | 68.0%    |
| GM           | 53.9% | 56.6% | 2.7%     | 54.0% | 56.9% | 2.9%     | 54.3% | 57.6% | 3.3%     |
| OpM          | 32.7% | 35.4% | 2.7%     | 32.1% | 35.0% | 2.9%     | 32.1% | 35.4% | 3.3%     |
| NM           | 28.1% | 30.6% | 2.5%     | 27.5% | 29.9% | 2.5%     | 27.5% | 29.9% | 2.5%     |

## Exhibit 12: Earnings revisions

| (NT\$mn)     | 2026E |       |          | 2027E  |        |          | 2028E  |        |          |
|--------------|-------|-------|----------|--------|--------|----------|--------|--------|----------|
|              | Old   | New   | Diff (%) | Old    | New    | Diff (%) | Old    | New    | Diff (%) |
| Revenue      | 8,533 | 9,001 | 5.5%     | 10,869 | 12,609 | 16.0%    | 13,652 | 14,513 | 6.3%     |
| Gross profit | 3,602 | 3,949 | 9.6%     | 4,921  | 5,930  | 20.5%    | 6,360  | 6,946  | 9.2%     |
| Op. income   | 2,377 | 2,735 | 15.1%    | 3,447  | 4,533  | 31.5%    | 4,648  | 5,394  | 16.0%    |
| Net income   | 1,934 | 2,227 | 15.2%    | 2,764  | 3,757  | 35.9%    | 3,691  | 4,409  | 19.5%    |
| EPS (NT\$)   | 66.18 | 76.23 | 15.2%    | 94.60  | 128.58 | 35.9%    | 126.32 | 150.93 | 19.5%    |
| GM           | 42.2% | 43.9% | 1.7%     | 45.3%  | 47.0%  | 1.8%     | 46.6%  | 47.9%  | 1.3%     |
| OpM          | 27.9% | 30.4% | 2.5%     | 31.7%  | 36.0%  | 4.2%     | 34.0%  | 37.2%  | 3.1%     |
| NM           | 22.7% | 24.7% | 2.1%     | 25.4%  | 29.8%  | 4.4%     | 27.0%  | 30.4%  | 3.3%     |

| (NT\$mn)     | 1Q26E |       |          | 2Q26E |       |          | 3Q26E |       |          |
|--------------|-------|-------|----------|-------|-------|----------|-------|-------|----------|
|              | Old   | New   | Diff (%) | Old   | New   | Diff (%) | Old   | New   | Diff (%) |
| Revenue      | 1,729 | 1,596 | -7.7%    | 1,905 | 1,863 | -2.2%    | 2,302 | 2,440 | 6.0%     |
| Gross profit | 702   | 669   | -4.6%    | 786   | 794   | 1.0%     | 974   | 1,068 | 9.7%     |
| Op. income   | 417   | 386   | -7.5%    | 486   | 496   | 2.1%     | 653   | 751   | 15.0%    |
| Net income   | 344   | 321   | -6.8%    | 389   | 399   | 2.6%     | 532   | 612   | 15.1%    |
| EPS (NT\$)   | 11.78 | 10.98 | -6.8%    | 13.31 | 13.65 | 2.6%     | 18.21 | 20.96 | 15.1%    |
| GM           | 40.6% | 41.9% | 1.3%     | 41.3% | 42.6% | 1.3%     | 42.3% | 43.8% | 1.5%     |
| OpM          | 24.1% | 24.2% | 0.1%     | 25.5% | 26.6% | 1.1%     | 28.4% | 30.8% | 2.4%     |
| NM           | 19.9% | 20.1% | 0.2%     | 20.4% | 21.4% | 1.0%     | 23.1% | 25.1% | 2.0%     |

Source: Company data, Goldman Sachs Global Investment Research

## Target price and M&A rank revisions

### All Ring (6187.TWO)

#### Maintain Buy with TP revised up to NT\$1,800 from NT\$800

Alongside our upward earnings revisions, we raise our 12-month TP to NT\$1,800 (from NT\$800 previously). **Our 12-month TP is now based on a target P/E multiple of 35x applied to our FY27E EPS** (vs. previously, our TP was 85% based on a fundamental valuation of 23x target P/E multiple, and 15% based on a theoretical M&A value of 31.7x P/E; both applied to 2027E EPS). We no longer include an M&A component in our price target as we now assign All Ring an M&A rank of 3 (vs. 2 prior) as we see a low probability of the company being acquired.

Our 35x target P/E is derived by applying the implied earnings growth uplift (per GSe) to the company's historical valuation framework. Over 2021-2025, All Ring traded at an average forward P/E of 14.3x alongside 24% earnings CAGR. Looking ahead, we forecast a 60% CAGR over 2025-2028E, implying 2.55x cumulative earnings expansion, which translates into a multiple of 35x. We believe this better reflects the company's earnings prospects vs our prior multiple (which was based on avg. fwd P/E since CoWoS ramp-up in 2024).

We view CPO as an even stronger structural tailwind for All Ring than CoWoS, with the potential to drive multiple-fold earnings expansion over the next several years, further supporting both earnings visibility and scope for valuation re-rating. Our new 12m TP implies 47% upside. Therefore, we reiterate our Buy rating on All Ring.

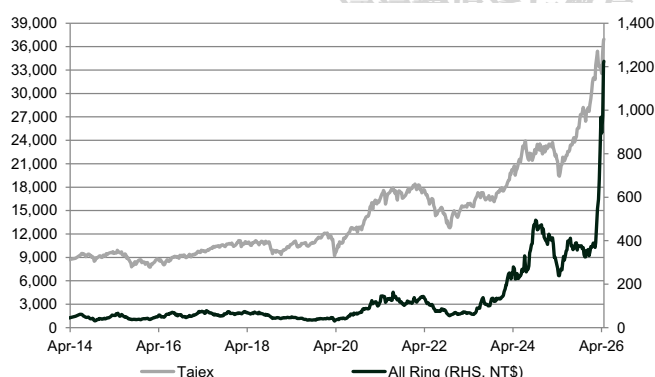


### Exhibit 13: All Ring's P&L overview (NT\$mn)

|                    | 1Q26E  | 2Q26E | 3Q26E | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E | 4Q27E | 2026E  | 2027E  | 2028E  |
|--------------------|--------|-------|-------|--------|--------|--------|-------|-------|--------|--------|--------|
| <b>P&amp;L</b>     |        |       |       |        |        |        |       |       |        |        |        |
| Revenue            | 1,411  | 1,745 | 2,510 | 3,940  | 3,200  | 3,927  | 4,473 | 4,629 | 9,607  | 16,230 | 19,539 |
| Gross profit       | 799    | 994   | 1,445 | 2,220  | 1,821  | 2,245  | 2,586 | 2,689 | 5,458  | 9,341  | 11,664 |
| Operating profit   | 500    | 610   | 889   | 1,317  | 1,157  | 1,418  | 1,652 | 1,728 | 3,316  | 5,953  | 7,845  |
| Net income         | 431    | 522   | 752   | 1,102  | 965    | 1,177  | 1,368 | 1,430 | 2,807  | 4,940  | 6,403  |
| EPS (NT\$)         | 4.49   | 5.43  | 7.82  | 11.47  | 10.04  | 12.26  | 14.24 | 14.89 | 29.22  | 51.42  | 66.65  |
| <b>Margins (%)</b> |        |       |       |        |        |        |       |       |        |        |        |
| GM                 | 56.6%  | 56.9% | 57.6% | 56.3%  | 56.9%  | 57.2%  | 57.8% | 58.1% | 56.8%  | 57.6%  | 59.7%  |
| OpM                | 35.4%  | 35.0% | 35.4% | 33.4%  | 36.1%  | 36.1%  | 36.9% | 37.3% | 34.5%  | 36.7%  | 40.2%  |
| NM                 | 30.6%  | 29.9% | 29.9% | 28.0%  | 30.1%  | 30.0%  | 30.6% | 30.9% | 29.2%  | 30.4%  | 32.8%  |
| <b>YoY (%)</b>     |        |       |       |        |        |        |       |       |        |        |        |
| Revenue            | 13.2%  | 14.5% | 47.0% | 343.8% | 126.8% | 125.1% | 78.2% | 17.5% | 79.0%  | 68.9%  | 20.4%  |
| Gross profit       | 6.1%   | 25.5% | 74.9% | 309.7% | 127.8% | 125.9% | 79.0% | 21.2% | 87.3%  | 71.2%  | 24.9%  |
| Operating profit   | 18.7%  | 31.6% | 77.2% | 486.3% | 131.5% | 132.2% | 85.8% | 31.2% | 105.9% | 79.5%  | 31.8%  |
| Net income         | 25.9%  | 30.7% | 79.0% | 241.0% | 123.6% | 125.5% | 82.0% | 29.8% | 89.0%  | 76.0%  | 29.6%  |
| EPS                | 25.6%  | 30.6% | 79.2% | 241.0% | 123.6% | 125.5% | 82.0% | 29.8% | 88.9%  | 76.0%  | 29.6%  |
| <b>QoQ (%)</b>     |        |       |       |        |        |        |       |       |        |        |        |
| Revenue            | 59.0%  | 23.6% | 43.9% | 57.0%  | -18.8% | 22.7%  | 13.9% | 3.5%  |        |        |        |
| Gross profit       | 47.5%  | 24.3% | 45.4% | 53.6%  | -18.0% | 23.3%  | 15.2% | 4.0%  |        |        |        |
| Operating profit   | 122.5% | 22.2% | 45.6% | 48.2%  | -12.2% | 22.6%  | 16.5% | 4.6%  |        |        |        |
| Net income         | 33.5%  | 21.0% | 43.9% | 46.6%  | -12.5% | 22.1%  | 16.2% | 4.5%  |        |        |        |
| EPS                | 33.5%  | 21.0% | 43.9% | 46.6%  | -12.5% | 22.1%  | 16.2% | 4.5%  |        |        |        |

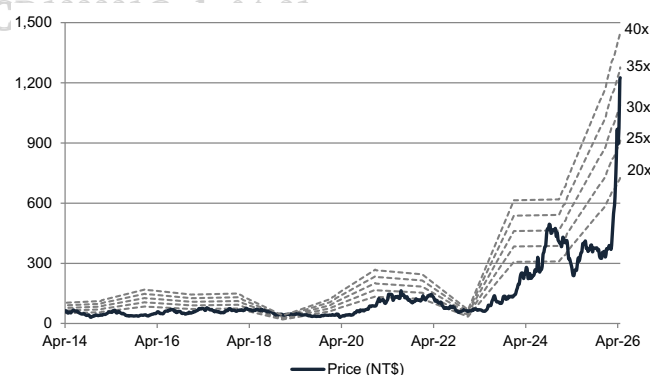
Source: Goldman Sachs Global Investment Research

### Exhibit 14: Taixes vs. All Ring



Source: TEJ

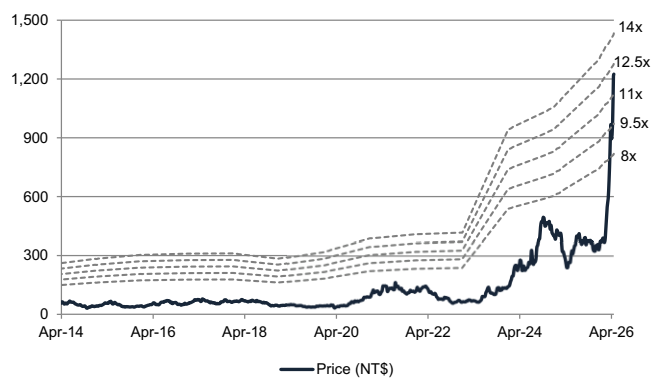
### Exhibit 15: Forward P/E



Source: TEJ

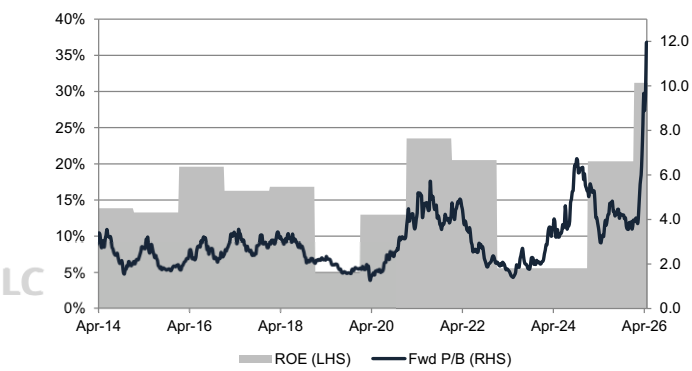
订阅研报添加微信 LCD123321Cad 04-21

Exhibit 16: Forward P/B



Source: TEJ

Exhibit 17: P/B vs. ROE



Source: TEJ

订阅研报添加微信 LCD123321Cad 04-21

订阅研报添加微信 LCD123321Cad 04-21

## GPTC (3131.TWO)

### Maintain Buy with TP revised up to NT\$4,500 from NT\$3,500

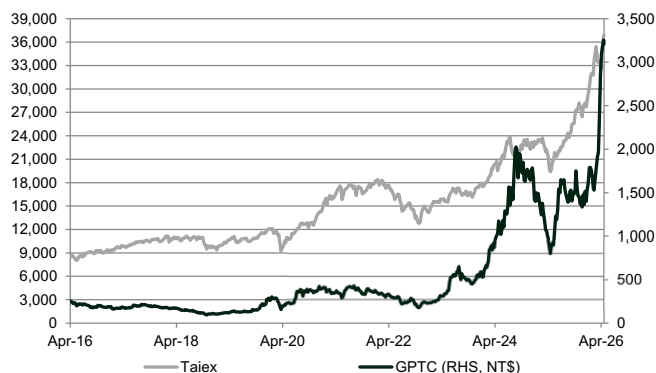
Alongside our upward earnings revisions, we raise our 12-month TP to NT\$4,500 (from NT\$3,500 previously). **Our 12-month TP is now based on a target P/E multiple of 35x applied to our FY27E** (vs. previously, our TP was 85% based on a fundamental valuation of 35x target P/E multiple, and 15% based on a theoretical M&A value of 48x P/E; both applied to 2027E EPS). We no longer include an M&A component in our price target as we now assign GPTC an M&A rank of 3 (vs. 2 prior) as we see a low probability of the company being acquired. Our 35x target P/E continues to be based on avg. fwd P/E during the CoWoS ramp-up in mid-2024 to 2025. Our new TP implies c.40% upside from current levels, and we maintain our Buy rating on GPTC.

#### Exhibit 18: GPTC's P&L overview

(NT\$mnn)

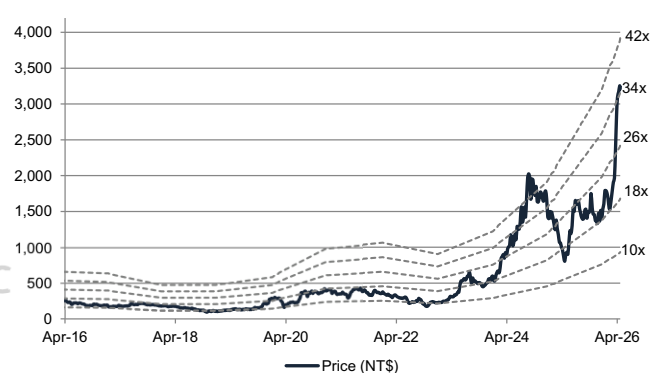
|                    | 1Q26E  | 2Q26E | 3Q26E  | 4Q26E | 1Q27E  | 2Q27E  | 3Q27E | 4Q27E | 2026E | 2027E  | 2028E  |
|--------------------|--------|-------|--------|-------|--------|--------|-------|-------|-------|--------|--------|
| <b>P&amp;L</b>     |        |       |        |       |        |        |       |       |       |        |        |
| Revenue            | 1,596  | 1,863 | 2,440  | 3,101 | 2,854  | 3,115  | 3,316 | 3,324 | 9,001 | 12,609 | 14,513 |
| Gross profit       | 669    | 794   | 1,068  | 1,418 | 1,328  | 1,463  | 1,564 | 1,574 | 3,949 | 5,930  | 6,946  |
| Operating profit   | 386    | 496   | 751    | 1,103 | 997    | 1,113  | 1,201 | 1,222 | 2,735 | 4,533  | 5,394  |
| Net income         | 321    | 399   | 612    | 895   | 837    | 906    | 997   | 1,016 | 2,227 | 3,757  | 4,409  |
| EPS (NT\$)         | 10.98  | 13.65 | 20.96  | 30.64 | 28.66  | 31.00  | 34.13 | 34.79 | 76.23 | 128.58 | 150.93 |
| <b>Margins (%)</b> |        |       |        |       |        |        |       |       |       |        |        |
| GM                 | 41.9%  | 42.6% | 43.8%  | 45.7% | 46.5%  | 47.0%  | 47.2% | 47.4% | 43.9% | 47.0%  | 47.9%  |
| OpM                | 24.2%  | 26.6% | 30.8%  | 35.6% | 35.0%  | 35.7%  | 36.2% | 36.8% | 30.4% | 36.0%  | 37.2%  |
| NM                 | 20.1%  | 21.4% | 25.1%  | 28.9% | 29.3%  | 29.1%  | 30.1% | 30.6% | 24.7% | 29.8%  | 30.4%  |
| <b>YoY (%)</b>     |        |       |        |       |        |        |       |       |       |        |        |
| Revenue            | 28.7%  | 14.3% | 63.4%  | 44.2% | 78.8%  | 67.2%  | 35.9% | 7.2%  | 38.2% | 40.1%  | 15.1%  |
| Gross profit       | 32.2%  | 20.0% | 75.5%  | 56.7% | 98.5%  | 84.3%  | 46.5% | 11.0% | 47.3% | 50.2%  | 17.1%  |
| Operating profit   | 39.3%  | 21.9% | 136.6% | 73.6% | 158.6% | 124.4% | 60.0% | 10.8% | 67.1% | 65.7%  | 19.0%  |
| Net income         | 25.6%  | 93.6% | 101.5% | 59.2% | 161.1% | 127.1% | 62.8% | 13.5% | 67.8% | 68.7%  | 17.4%  |
| EPS                | 25.6%  | 93.7% | 101.6% | 59.1% | 161.1% | 127.1% | 62.8% | 13.5% | 67.7% | 68.7%  | 17.4%  |
| <b>QoQ (%)</b>     |        |       |        |       |        |        |       |       |       |        |        |
| Revenue            | -25.7% | 16.7% | 30.9%  | 27.1% | -8.0%  | 9.2%   | 6.4%  | 0.3%  |       |        |        |
| Gross profit       | -26.1% | 18.6% | 34.5%  | 32.8% | -6.3%  | 10.2%  | 6.9%  | 0.6%  |       |        |        |
| Operating profit   | -39.3% | 28.6% | 51.4%  | 46.9% | -9.6%  | 11.6%  | 7.9%  | 1.8%  |       |        |        |
| Net income         | -43.0% | 24.4% | 53.6%  | 46.1% | -6.5%  | 8.2%   | 10.1% | 1.9%  |       |        |        |
| EPS                | -43.0% | 24.4% | 53.6%  | 46.1% | -6.5%  | 8.2%   | 10.1% | 1.9%  |       |        |        |

**Exhibit 19: Taiex vs. GPTC**



Source: TEJ

**Exhibit 20: Forward P/E**



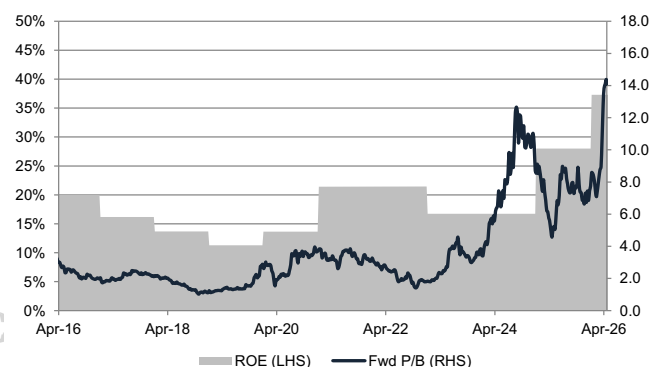
Source: TEJ

**Exhibit 21: Forward P/B**



Source: TEJ

**Exhibit 22: P/B vs. ROE**



Source: TEJ

## M&A Framework

We evaluate GPTC and All Ring on a number of quantitative and qualitative factors and now assign an M&A rank of 3 (vs. 2 prior). We now believe there is a low probability of the companies being acquired, given the much larger market cap that All Ring/GPTC have now at NT\$105bn/NT\$92bn vs. that at the time of our initiation in June 2025 at NT\$34bn/NT\$46bn. Hence, we no longer incorporate an M&A component into our TP valuation methodology.

订阅研报添加微信 LCD123321Cad 04-21

## Investment Thesis – All Ring (6187.TWO)

All Ring is one of the key suppliers of semiconductor equipment in Taiwan, primarily utilized in back-end advanced packaging processes. The company manufactures underfill dispenser, TIM heat sink attach equipment, and automated optical inspection equipment which are widely adopted within the CoWoS process. All Ring currently has nearly 100% of market share in WoS underfill dispenser and TIM heatsink attach equipment, and its main customers include leading foundries and OSATs in Taiwan.

We like All Ring as we expect its revenue/earnings CAGR to further accelerate to 54%/60% in 2025-28E, driven by 1) continued advanced packaging capacity expansion, and 2) rapid growth of its CPO business. With All Ring's unique position in CPO coupling equipment and new packaging opportunity such as PLP, we see upside potential in its revenue and earnings growth and have a Buy rating on the name.

## Price Target Risks and Methodology – All Ring (6187.TWO)

**Valuation:** We are Buy rated on All Ring. Our 12m TP of NT\$1,800 is based on a target P/E multiple of 35x (derived from growth-adjusted historical valuation) applied to our FY27E EPS.

**Key risks to our views:** 1) slower advanced packaging expansion, 2) delay in adoption of new packaging technologies, and 3) intensifying competition.

## Investment Thesis – GPTC (3131.TWO)

GPTC is one of the premier suppliers of semiconductor wet processing equipment, primarily utilized in back-end advanced packaging processes. The company manufactures semiconductor wet processing equipment, including metal etching equipment and single-wafer cleaning equipment, as well as providing engineering and installation services to semiconductor manufacturers. GPTC is the main CoWoS wet clean equipment provider and has 50% of market share at TSMC and near 100% of market share at ASE/SPIIL. GPTC is also the sole provider for SoIC wet clean equipment at TSMC given its leading technology versus local peers.

We favor GPTC as we expect its revenue/earnings CAGR to further accelerate to 31%/49% in 2025-28E, driven by 1) continued advanced packaging capacity expansion, and 2) equipment ASP increase amid rising advanced packaging (e.g. SoIC, CPO, FOPLP) technology complexity. The company is now trading below its AI cycle (2023-2025) average forward P/E of 29x; however, with proliferation of advanced packaging into non-AI application and increasing ASP thanks to rising technology complexity, we continue to see upside potential to its revenue and earnings growth and maintain a Buy rating on the name.

## Price Target Risks and Methodology – GPTC (3131.TWO)

**Valuation:** We are Buy rated on GPTC. Our 12m TP of NT\$4,500 is based on a target P/E multiple of 35x (based on avg. fwd P/E during the CoWoS ramp-up in mid-2024 to 2025) applied to our FY27E EPS.

**Key risks to our views:** 1) softer AI/HPC demand, 2) slower adoption of new advanced

packaging technologies, and 3) intensifying competition.

订阅研报添加微信 LCD123321Cad 04-21

订阅研报添加微信 LCD123321Cad 04-21

订阅研报添加微信 LCD123321Cad 04-21